30 items

Answer Key

Recall Edition — check only after you have written every cell.

01 · Capital budgeting decision rules

(1) NPV measures value added in currency and is always correct for mutually exclusive projects; the others are shortcuts that fail in a specific, predictable way.
One-sentence model · ●●

(2) Under hard capital rationing, ranking by NPV alone can waste budget
NPV · When it breaks · ●●●

(3) Ignores every cash flow after the cutoff
Payback · When it breaks · ●●●

(4) Same as NPV
PI · Key assumption · ●●

(5) Capital rationing — ranking by value per unit of scarce capital
PI · When to use it · ●●

(6) Treating a short payback as evidence of profitability
Payback · Common mistake · ●●●

(7) Discounting at the IRR instead of the WACC
NPV · Common mistake · ●●●

(8) Reinvestment at the cost of capital
NPV · Key assumption · ●●

(9) Can rank against NPV when project scales differ
PI · When it breaks · ●●●

(10) Non-conventional cash flows → multiple or no IRR
IRR · When it breaks · ●●●

(11) Forgetting that PI > 1 and NPV > 0 are the same condition
PI · Common mistake · ●●●

(12) Reinvestment at the IRR itself — usually unrealistic
IRR · Key assumption · ●●

(13) What the method assumes you do with the money that comes back. NPV assumes you earn the cost of capital on it; IRR assumes you earn the IRR. Every ranking conflict between them traces to that one assumption.
Decisive distinction · ●●●

(14) If the projects are mutually exclusive or differ in scale or timing, follow NPV.
NPV / IRR · ●●●

(15) PI is a ratio. Ratios rank by efficiency, not by size — that is the whole difference.
PI / NPV · ●●●

(16) False for mutually exclusive projects — select on NPV
The project with the higher IRR should be selected. · ●●●

(17) Not defined when cash flows are non-conventional and no real IRR exists
A project with a positive NPV always has an IRR above the cost of capital. · ●●●

(18) It corrects for time value but still ignores all cash flows after the cutoff
Discounted payback fixes the flaws of payback. · ●●●

02 · Depreciation methods

(19) Accelerated methods move expense into early years, so early net income and early carrying amount are lower, and both reverse before the asset's life ends.
One-sentence model · ●●

(20) Using remaining life for the numerator of the wrong year
Sum-of-years digits · Common mistake · ●●●

(21) Using it as the default when the vignette states usage-based consumption
Straight line · Common mistake · ●●●

(22) Subtracted up front
Straight line · Salvage treatment · ●●●

(23) Subtracting salvage before applying the rate
Double declining balance · Common mistake · ●●●

(24) Subtracted up front
Sum-of-years digits · Salvage treatment · ●●●

(25) Depends on usage, not on time
Units of production · Early-year expense · ●●●

(26) Failing to revise the rate when total estimated units change
Units of production · Common mistake · ●●●

(27) Whether salvage value enters the calculation at the start. Every method subtracts it up front except DDB, which uses it only as a floor.
Decisive distinction · ●●●

(28) If salvage is missing from the first-year computation, it is DDB.
DDB / SYD · ●●●

(29) It only shifts income between periods — the lifetime total is unchanged
Accelerated depreciation reduces total reported income. · ●●●

(30) It is a change in estimate, applied prospectively
A change in useful life requires restating prior periods. · ●●●